



Decoding PMLA

A recent Supreme Court judgement has dealt at length with aspects of the anti-money laundering Act. Here are a few implications

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THE PREVENTION OF Money Laundering Act, 2002 (PMLA) is by far the most far-reaching and feared law dealing with financial proceeds associated with a crime. Ever since its promulgation in 2002, the authorities have sought to invoke PMLA time and again, and so the provisions have come up for interpretation before various courts, including the Supreme Court of India (SC). The PMLA has undergone several amendments to broaden its scope and to address some of the issues arising from court judgements. The power of arrest on a non-bailable basis makes the law a potent weapon in the hands of authorities.

A recent SC judgement in the case of Vijay Madanlal Choudhary & Others vs. Union of India is a far-reaching one as it deals with the constitutional validity of the Act and its amendments. The judgement deals with a wide

range of issues and has invoked sharp reactions from the legal fraternity.

It is not possible for a column to deal with the ramifications of the entirety of the judgement. What I am setting out are some of the important implications that will have a day-to-day relevance to the readers. Also, it is important to note that this judgement does not deal with facts of any specific case but concerns itself with the constitutional validity of the provisions of PMLA and overall interpretation of many of the sections.

Money laundering

The SC has dealt at length with what constitutes money laundering and has held that the term has a broader ambit and includes every process and activity, whether direct or indirect, which deals with the proceeds of a crime; money laundering is not limited to the happening of the final act where proceeds of a crime are sought to be given the colour of

being legitimate. The SC has held that the act of projecting or claiming the property as being untainted is an offence of money laundering. It has rejected arguments that money laundering can happen only when three concomitant conditions exist: there is a scheduled offence; there are proceeds of crime arising from that scheduled offence; and there is an attempt to project or claim such property as untainted.

Predicate offence

Another important aspect considered by the SC is on the issue of whether if the predicate offence (being the offence for which a person is being criminally prosecuted) is held not to apply to a person, can there be an independent proceeding against such a person under PMLA? The SC has held that for PMLA authorities to get jurisdiction, there has to be a pending inquiry/trial including by way of a criminal complaint before a relevant authority. If a person is